

Health Insurance: Algorithms Should Not Decide

Intervention by Guido Scorza, Member of the Guarantor for the Protection of Personal Data
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The risk is high, says the American federal health agency, that the algorithms in question, although trained on millions and millions of data points, may be affected by serious biases that could perpetuate and amplify prejudices already prevalent in our society.

In the United States of America, the issue has been simmering for some time, and it was clear that it was only a matter of time before the lid blew off. The CMS – the American federal health agency – has just put in writing a principle that could impose a sudden halt on many American health insurance companies in their rush to use artificial intelligence and that, in any case, serves as a warning even on this side of the ocean. An artificial intelligence algorithm cannot decide whether and how much an insured person may benefit from their insurance coverage.

There is nothing against insurance companies using artificial intelligence in the exercise of their activities, to combat fraud or to make strategic decisions, but when it comes to deciding whether a patient, after a trauma or a surgical intervention, for example, is entitled to insurance coverage for home medical assistance for seven or one hundred days, the algorithms must step aside, and the decision must be made exclusively based on data and information specifically related to the patient and the parameters made public by the insurance company on its website, prior to the finalization of the policy.

Also because – and the CMS does not mince words – there is a high risk that the algorithms in question, although trained on millions and millions of data points, may be affected by serious biases that could perpetuate and amplify prejudices already prevalent in our society.

The guidelines just published by the American federal health agency come after several insured individuals, in recent months, have initiated legal actions that could lead to a class action for being denied – they claim as a result of an exclusively algorithmic decision – the right to coverage for a whole series of home care necessary following serious traumas or surgical interventions.

According to the insured, the algorithms in question – whether they do so in good faith or not – systematically arrive at underestimated assessments regarding the actual healthcare needs of certain patients.

For example, while, so far, according to the parameters adopted by the insurance companies themselves, after a three-day hospital stay, one could be entitled to care at a nursing home for up to one hundred days, the algorithms in question would almost never grant more than fourteen days of clinical assistance.

Whether this is actually the case or not, of course, will have to be determined by the judges in the coming months.

But the CMS, regardless of the individual legal cases, recently wanted to warn the entire system about the risks associated with using algorithms to make decisions that have a huge impact on people's lives, especially in the United States, capable of depriving a person of their right to receive adequate care.

But aside from the United States, the principle seems valid also in Europe, where the European regulation on the protection of personal data, the so-called GDPR, already provides, with very few exceptions, a general prohibition on decisions based solely on automated processing that can affect the rights and interests of a person, a prohibition that is even strengthened, in this case with very few exceptions, when the algorithms must be fed, among other things, with health-related data.

And, on this side of the ocean, the same rules provide, in any case, that “the data controller implements appropriate measures to protect the rights, freedoms, and legitimate interests of the data subject, at least the right to obtain human intervention from the data controller, to express their opinion, and to contest the decision.”

In short, the final word must – or at least should – always belong to a human and should always be a substantial final word, that is, an actual review of the algorithmic decision.

The rules, in short, are there, but just as the American situation suggests, while the whole world rushes towards an ever-increasing reliance on all kinds of artificial intelligence solutions, it is essential to keep our eyes open, never tire of illuminating the guardrails that, far from restricting and limiting innovation, instead guide it in a sustainable direction and, above all, invest more and more in educating people about living with algorithms and fundamental rights to avert the risk that technologies and markets may impose their rules on millions of people unable to understand their impact and to claim their rights and freedoms.